IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/6(CHE)2023
In
CA(CAA)/74(CHE)2022

(filed under Sections 230 to 232 of the Companies Act, 2013)
In the matter of *Composite Scheme of Arrangement (Merger & Demerger)*
Between

Neuberg Diagnostics Private Limited
CIN No- U85300TN2017PTC114099
Reg Off:-
46 & 48 Masilamani Road,
Balaji Nagar, Royapettah,
Chennai – 600 014

... 1st Petitioner/ Transferee Company/ Resulting Company

And

Neuberg Supratech Reference Laboratories Private Limited
CIN No- U85195TN2013PTC151947
Reg Off:-
Trivitron Sapthagiri Bhawan,
15, IV Street Abhiramapuram,
Chennai – 600 018

... 2nd Petitioner / Transferor Company-1

And

Maxivision Laboratories Private Limited
CIN No- U74900TN2016PTC103853
Reg Off:-
No. 15, 4th Street,
Abhiramapuram,
Chennai – 600 018

... 3rd Petitioner / Transferor Company-2

And

Anand Diagnostic Laboratories Private Limited
CIN No- U85300TN2022PTC148948
Reg Off:-
No. 15, 4th Street Sapthagiri Bhavan,
Abhiramapuram,
Chennai – 600 018

... 4th Petitioner / Demerged Company-1

And

Neuberg Anand Reference Laboratory Private Limited
CIN No- U85300TN2022PTC148946
Reg Off:-
No. 15, 4th Street Sapthagiri Bhavan,
Abhiramapuram,
Chennai – 600 018

... 5th Petitioner / Demerged Company-2

And

Their Respective Shareholders & Creditors

*Order Pronounced on **09th June 2023***

CORAM
SANJIV JAIIN, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMEBR (TECHNICAL)

Appearances:

For Petitioners	*: Mr. R. Inbaraju, Advocate*
For RD/RoC	*: Mr. Avinash Krishnan Ravi, Advocate*
For Official Liquidator	*: Mr. Palani, Estate Assistant*

ORDER

*Per: **SAMEER KAKAR, MEMBER (TECHNICAL)***

The hearing of this Petition was conducted through video conferencing platform.

CP(CAA)/6(CHE)/2023 is a joint Company Petition filed by the Petitioner Companies viz., ***Neuberg Diagnostics Private Limited*** *(for brevity "Transferee Company/Resulting Company")* and ***Neuberg Supratech Reference Laboratories Private Limited*** *(for brevity "Transferor Company-1")* and ***Maxivision Laboratories Private Limited*** *(for brevity "Transferor Company-2")*, and ***Anand Diagnostic Laboratories Private Limited*** *(for brevity "Demerged Company-1")* and ***Neuberg Anand Reference Laboratory Private Limited*** *(for brevity "Demerged Company-2")* under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies

(Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement (Merger & Demerger) (hereinafter referred to as the "SCHEME") proposed by the Petitioner Companies with its Shareholders. The said Scheme is appended as Annexure '31' to the Petition.

2. The Composite Scheme of Arrangement (Merger & Demerger) as contemplated between the Petitioner Companies involves,

A. *amalgamation of Transferor Company 1 & 2 into and with the Transferee Company; and*

B. *demerge and vest demerged undertaking 1 of Demerged Company-1 & Demerged Undertaking-2 of Demerged Company -2 to and in Resulting Company.*

The Scheme is segregated into following parts:

(i) *Part – I Part I sets forth the overview, objectives and benefits of this Scheme;*

(ii) *Part II sets forth the capital structure of the Companies;*

(iii) *Part III deals with the amalgamation of Transferor Company 1 into and with Transferee Company, in accordance with Section 2(1B) of the IT Act and Sections 230 to 232 of the Companies Act;*

(iv) *Part IV deals with the amalgamation of Transferor Company 2 into and with Transferee Company, in accordance with Section 2(IB) of the IT Act and Sections 230 to 232 of the Companies Act;*

(v) *Part V deals with the demerger and vesting of Demerged Undertaking I of Demerged Company I to and in Resulting Company, in accordance with Section 2(19AA) of the IT Act and Sections 230 to 232 of the Companies Act;*

(vi) *Part VI deals with the demerger and vesting of Demerged Undertaking 2 of Demerged Company 2 to and in Resulting*

Company, in accordance with Section 2 (19AA) of the Income Tax Act and Sections 230-232 of the Companies Act;

(vii) Part VII deals with amendment to the memorandum of association und alteration of the authorized share capital of the relevant Companies, und general terms and conditions applicable to this Scheme.

3. RATIONALE OF THE SCHEME

It is stated that, this Scheme is expected to result inter alia in:

- consolidation of the businesses presently being carried on by each of the Companies, which shall create greater synergies between such business operations and within the Neuberg group, and consolidation of different market segments and market geographies;
- formation of a stronger company with a larger capital and asset base to enable the combined business to be pursued in a manner that is more convenient and advantageous to all the stakeholders;
- enhancement of competitive strength, productivity gains and logistic advantages, cash flows and operational efficiencies through optimal utilisation of resources, as a consequence of pooling of management, administrative and technical skills of various resources, better administration, and cost reduction, including economisation and reduction of managerial, administrative and other common costs;
- better alignment, coordination and streamlining of day-to-day operations, leading to improvement in overall working culture and environment;
- significant reduction in the multiplicity of legal and regulatory compliances required; and

- creation of value for various stakeholders and shareholders of the Companies, as a result of all of the foregoing.

4. 1ST MOTION APPLICATION

4.1 The Petitioner Companies had filed a joint First Motion Application vide CA(CAA)/74/CHE/2022. Based on such application moved under Sections 230-232 of the Companies Act, 2013 directions were issued by this Tribunal, vide Common order dated 09.12.2022, for holding/dispensation of meeting as follows;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEREE/ RESULTING COMPANY	Dispensed with	Dispensed with	*To Convene Meeting*
TRANSFEROR COMPANY-1	Dispensed with	Dispensed with	*To Convene Meeting*
TRANSFEROR COMPANY-2	Dispensed with	*NA**	Dispensed with
DEMERGER COMPANY-1	Dispensed with	Dispensed with	*To Convene Meeting*
DEMERGER COMPANY-2	Dispensed with	Dispensed with	*To Convene Meeting*

4.2 Subsequent to the said order dated 09.12.2022, meetings were conducted. The chairperson appointed has filed the reports of the said meetings before the registry and the same were taken on record. Subsequent to the said reports, the petitioner companies filed this joint Company Petition before this Tribunal. Thereafter, on 22.02.2023, this Tribunal passed an order directing issuance of notice to the Sectoral

Regulators and Authorities concerned and for publication in 'Business Standard' (English-All India Edition) and 'Makkal Kural' (Tamil-Tamil Nadu Edition).

4.3 Pursuant to the said directions, notices were served on the Sectoral Regulators and other Authorities on 14.03.2023 by the Petitioner Companies and the publications as directed were made on 21.03.2023 by the Petitioner Companies. A joint Affidavit of service confirming the services and publications is placed on record.

5. STATUTORY AUTHORITIES

5.1. REGIONAL DIRECTOR

5.1.1 The Regional Director Southern Region, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued, filed his Report dated 17.03.2023 before the Tribunal stating that they have *decided not to make any objection to the Scheme except for the Observations at Para 10 & 11 of their report.* The extract of the observations as mentioned above is as hereunder,

> *"10) It is submitted that Clause 7.2 of Part VII the Scheme provides for clubbing of Authorized Share Capital of the Transferor Company 1 (Rs. 5,00,000), Transferor Company 2 (Rs. 15,10,00,000), Demerged Company 1 (Rs. 40,00,00,000) and Demerged Company 2 (Rs. 53,00,00,000), as such the Authorized Share Capital of the Transferor Company 1 and 2 and the Demerged Company 1 and 2 shall stand altered and merged with the Authorized Share Capital of the Transferee*

Company / Resulting Company. Clause V of the MOA of the Transferee Company / Resulting Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 139,15,00,000 divided into 13,91,50,000 equity shares of Rs. 10 each. It is prayed that the Hon'ble NCLT, Chennai may direct the Transferee / Resulting Company to pay the difference in fee / stamp duty and also to file the amended MOA and AOA with Registrar of Companies in connection with the proposed increase of Authorized Share Capital and also on the alteration of Object Clause upon effectiveness of the proposed Composite Scheme of Arrangement.

11) It is respectfully submitted that as per Clause 7.22 and 7.23 of Part VII of the Scheme, the Authorized Share Capital of the Demerged Company 1 shall stand reduced to Rs. 20,00,00,000, as such Clause V of the Demerged Company 1 shall stand amended as the Authorized Share Capital of the Company shall be Rs. 20,00,00,000 divided into 2,00,00,000 Equity Shares of Rs. 10 each and that of the Demerged Company 2 shall stand reduced to Rs. 7,00,00,000, as such Clause V of the Demerged Company 2 shall stand reduced to Rs. 7,00,00,000 divided into 70,00,000 Equity Shares of Rs. 10 each. It is prayed that the Hon'ble NCLT, Chennai may direct the Demerged Company 1 and Demerged Company 2 to file the amended MOA and AOA with Registrar of Companies in connection with the proposed reduction of Authorized Share Capital."

5.1.2 It is seen from the report of RoC, Chennai that, the Transferee/Resulting Company, Transferor Company 1 & 2 have filed their statutory returns up to 31.03.2022 and have reported that there is no prosecution / Inspection or Investigation is pending against the Companies involved in the Composite Scheme.

5.2 OFFICIAL LIQUIDATOR

5.2.1 The Official Liquidator, *(hereinafter referred to as 'OL)* Chennai to whom the notice was issued, filed his Report on 17.04.2023 and has reported that having examined the books of accounts and records, other documents, annual reports and statutory books and registers, M/s. Sarathy & Vasu, Chartered Accountants have observed that, the affairs of the Transferor Companies 1 & 2 have not been conducted in a manner which is prejudicial to the interest of members or to public interest. The Chartered Accountants have further reported that they have not come across with any transactions involving act of misfeasance, which would attract the provisions of the Companies Act, 2013.

5.2.2 The report is taken on record. This Tribunal directs the Transferor Companies 1 & 2 to pay a sum of ***Rs. 1,25,000/-*** (Rupees one lakh twenty-five thousand only) + ***GST*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Companies.

5.3 INCOME TAX DEPARTMENT

5.3.1 In spite of notice having been served to the Income Tax department by the Companies on 14.03.2023, there is neither any representation nor any report has been filed by the

authority. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

5.3.2 In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi with a view to protect the interest of the revenue, has however, made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

5.4 OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities namely, the Reserve Bank of India (RBI), to whom notices have been issued

has neither filed any reply nor raised any objections to the Scheme. In the said circumstances, this Tribunal presumes that the authority concerned has no objection to the proposed scheme.

6. ACCOUNTING TREATMENT

The Learned Senior Counsel for the Petitioner companies submits that the Statutory Auditor of the Petitioner companies have examined the Scheme and has individually certified that the Petitioner companies have complied with proviso to Section 230 - 232 and the Accounting Treatment contained in the proposed Scheme of Amalgamation is in compliance with the Applicable Indian Accounting Standards notified under section 133 of the Companies Act, 2013 read with the rules made there under and other generally accepted accounting principles in India. The Certificates issued by the Statutory Auditor certifying the Accounting Treatment of the Petitioner Companies is placed in the typed set of papers filed along with the Petition.

7. OBSERVATIONS OF THIS TRIBUNAL

7.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the Petitioner Companies *prima facie* would not be in any way detrimental to the interest of the shareholders of the Companies.

7.2 From the report of the RD we also understand that no investigation proceedings are pending against the Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

7.3 In view of the absence of any other objections from regulatory authorities and statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal ***sanctions the Scheme of Arrangement*** (Merger & Demerger) appended with the Company Petition as well as the prayer made therein.

7.4. The Appointed date of the said Scheme is **1st April 2022**. The said Scheme of Arrangement (Merger & Demerger) will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditor/s in any manner.

7.5 The Scheme does not require any modification as it appears to be fair and reasonable, not contrary to public policy and also not violative of any provisions of law. All the statutory compliances have been made under section 230-232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The Scheme of Arrangement (Merger & Demerger) between the Petitioner Companies was duly approved by the shareholders of the respective companies.

7.6 Taking into consideration all the above, the Company Petition is allowed and the Scheme of Arrangement annexed with the petition is hereby **sanctioned** which shall be binding on all the members, creditors and shareholders.

7.7 While approving the scheme as above, we clarify that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

7.8 The Companies to the said Scheme or other persons interested, shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme. The Petitioner Company shall file with the Registrar of Companies, the certified copy of this Order, within 30 days of the receipt of the order.

7.9 The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

8. THIS TRIBUNAL DO FURTHER ORDER

(i) That all properties, rights and interests of the Transferor Companies 1 & 2/Demerged Undertakings of the Demerged Company 1 & 2 shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been

transferred and vested in the Transferee Company/Resulting Company in terms of the Scheme; and

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies 1 & 2/Demerged Undertakings of the Demerged Company 1 & 2 shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company/Resulting Company in terms of the Scheme; and

(iii) That all proceedings now pending by or against the Transferor Companies 1 & 2/Demerged Undertakings of the Demerged Company 1 & 2 shall be continued by or against the Resulting Company; and

(iv) That all the employees/workmen of the Transferor Companies 1 & 2/Demerged Undertakings of the Demerged Company 1 & 2 in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee/Resulting Company without any break or interruption in their service with all the benefits, as existing on the date.

(v) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) The 'Effective date' shall have the meaning assigned to such term in Clause 7.7. Correlative terms such as "upon this

scheme becoming effective" and "effectiveness of this Scheme" shall be construed in accordance with this definition, as mentioned in clause 1.3.13 of Part - I of the Scheme.

(vii) That the Transferee/Resulting Company do without further application allot to such members of the Transferor Companies 1 & 2 and Demerged Companies 1 & 2, as have not given such notice of dissent, as is required by Scheme of Arrangement herein the shares in the Transferee/ Resulting Company to which they are entitled under the said Scheme of Arrangement in terms of *Clause 3.2, 4.2, 5.3 & 6.3* of the Scheme.

(viii) That the Transferee/Resulting Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, concerned and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee/Resulting Company after setting off the fees paid by the Transferor Companies.

(ix) That the Appointed date for the Scheme shall be **01.04.2022.**

(x) That both the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and the Transferor Companies 1 & 2 shall be dissolved without winding up and the Registrar of

Companies shall place all documents relating to the Transferor Companies registered with him on the file kept by him in relation to all the Transferee/Resulting Company and the files relating to all the said companies shall be consolidated accordingly.

(xi) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

9. Accordingly, the Scheme annexed with the petition stand **sanctioned** and the Company Petition No. **CP (CAA)/ 6(CHE)/2023** stands **allowed.**

— Sd —

SAMEER KAKAR
MEMBER (TECHNICAL)

— Sd —

SANJIV JAIN
MEMBER (JUDICIAL)